

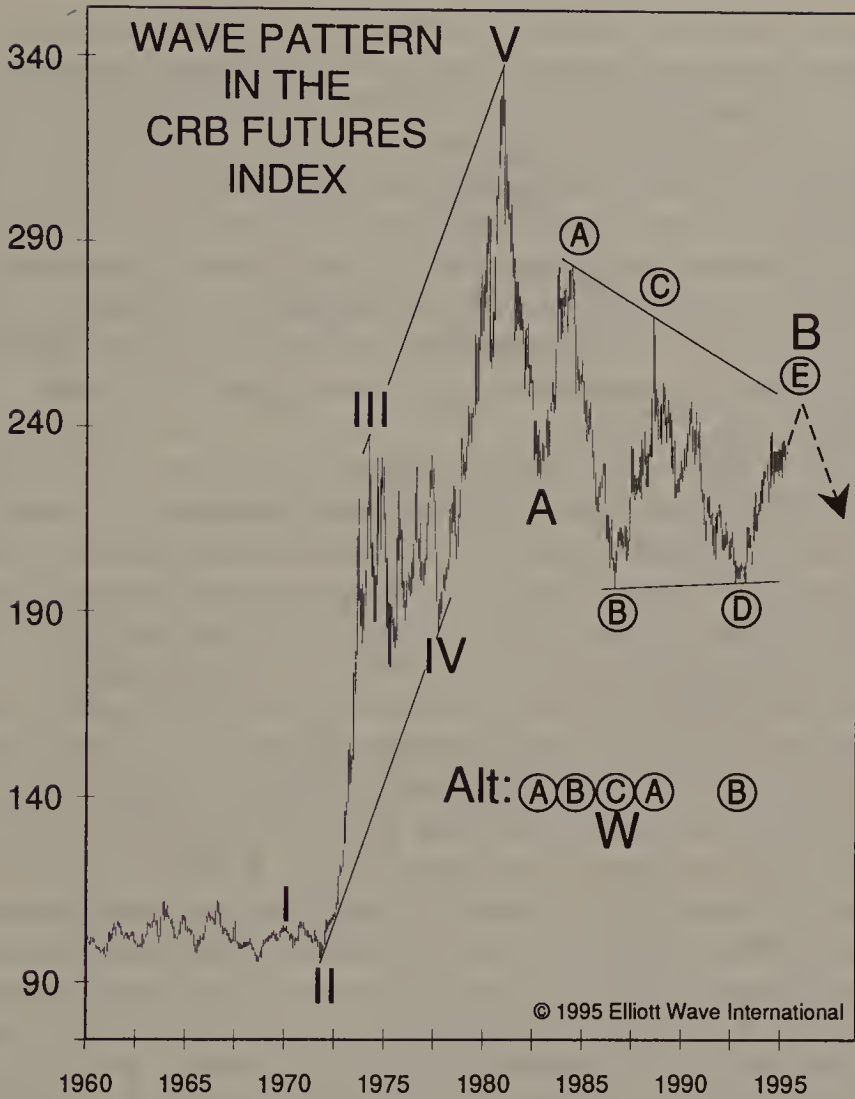


Figure 18-5

How Far Down?

There are two precedents involving falling commodity prices that pertain mightily to the current outlook. From near the wave (I) stock market peak of 1835, an index of commodities maintained by the Foundation for the Study of Cycles began a decline of 47.5% that lasted five years, from February 1837 to March 1843. The index understates the experience of each commodity, as many individual commodities fell 80% or more from high to low. Nine decades later,